

GNIOT Institute of Management Studies – PGDM (Batch 2024-26)**(TRIMESTER – III) END TERM EXAMINATION, MAY -2025****Cost and Management Accounting***[Time: 2 Hours]**[Maximum Marks: 60]***Following are the course outcomes of the subject: - Cost & Management Accounting**

CO	Course Outcome (CO)
CO1	Ability to analyze costs, interpret variances, and make informed managerial decisions.
CO2	Effectively communicating cost-related information to aid management in decision- making.
CO3	Capacity to identify and solve cost-related issues within different organizational contexts.

*(Note- Faculty can add the more CO's as per their subject.)***SECTION-A***Attempt all parts of the following: (Short Answer Type Questions, do not exceed 150- 200 words)*

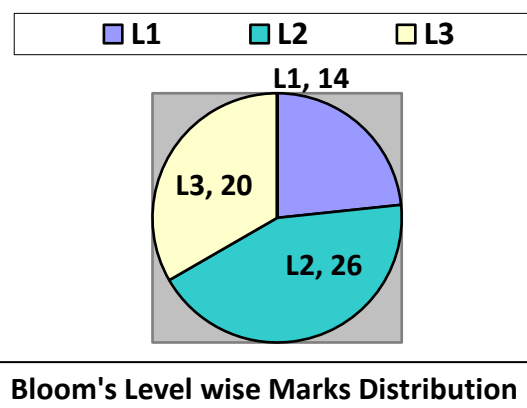
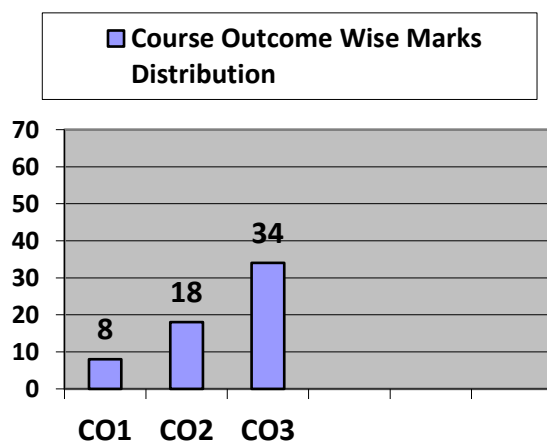
Q.1	Marks	COURSE OUTCOME	BLOOMS LEVEL
(A)	4	CO – 1	BL-2
(B)	4	CO – 1	BL-2
(C)	4	CO – 2	BL-2
(D)	4	CO – 2	BL-1
(E)	4	CO - 3	BL-2

SECTION-B*Attempt ANY TWO questions out of the following: (Long Answer Type Questions, do not exceed 300- 400 words)*

Q. No	Marks	COURSE OUTCOME	BLOOMS LEVEL
2 (A)	10	CO – 2	BL-3
2 (B)	10	CO – 2	BL-3
3 (A)	10	CO – 3	BL-3
3 (B)	10	CO – 3	BL-3

SECTION-C*Attempt all parts of the following: (Caselet / Numerical, do not exceed 300- 400 words)*

Q.4	Marks	COURSE OUTCOME	BLOOMS LEVEL
4 (A)	10	CO – 3	BL-1
4 (B)	10	CO - 3	BL-2



Printed Pages: 1

Roll No:

--	--	--	--	--	--	--	--	--	--

Subject Code: DM- 302

Paper ID: 13002

GNIOT Institute of Management Studies – PGDM (Batch 2024-26)

(TRIMESTER –III) END TERM EXAMINATION, MAY - 2025

Cost and Management Accounting

[Time: 2 Hours]

[Maximum Marks: 60]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- a) Explain the advantages of cost accounting to the management.
- b) Explain the difference between direct costing and indirect costs.
- c) Compare between contract and job costing.
- d) Define current ratio and quick ratio with example.
- e) Outline the importance of variance analysis in cost control.

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(2X10=20)

- a) By applying your analysis explain cost-volume-profit analysis. What are the underlying assumptions behind CVP Analysis? What are its objectives?

OR

- b) The PET Chemicals Co. supplies you the following details from its cost records

Stock of raw materials on 1 September 2024	75,000
Stock of raw materials on 30 September 2024	91,500
Direct wages	52,500
Indirect wages	2,750
Sales	2,00,000
Work-in-progress on 1 September 2024	28,000
Work-in-progress on 30 September 2024	35,000
Purchases of raw materials	66,000
Factory, rent, rates and power	15,000
Depreciation of plant and machinery	3,500
Expenses on purchases	1,500
Carriage outward	1,000
Advertising	5,000
Office rent and taxes	2,500
Travellers' wages and commission	6,500
Stock of finished goods on 1 September 2024	54,000
Stock of finished goods on 30 September 2024	31,000

Construct a cost sheet giving the maximum possible break-up of cost and profit

Q.3. (a) Applying the principles of costing to a real-world scenario identify its objectives & choose appropriate costing methods used in cost accounting.

OR

(b) Surya Construction Ltd. with paid-up share capital of Rs. 50,00,000, undertook a contract to construct MIG apartments. The work commenced on the contract on 1 April 2024. The contract price was Rs. 60,00,000. Cash received on account of the contract up to 31 March 2025 was 18,00,000 (being 90% of the work certified). Work completed but not certified was estimated at Rs. 1,00,000. As on 31 March 2025, material at site was estimated at Rs. 30,000, Machinery at site costing Rs. 2,00,000 was returned to stores and wages outstanding were Rs. 5,000. Plant and Machinery at site it to be depreciated at 5%.

The following were the ledger balances (Dr.), as per trial balance, as on 31 March 2025:

Land and Building	23,00,000
Plant and Machinery (60% at site)	25,00,000
Furniture	60,000
Materials	14,00,000
Fuel and Power	1,25,000
Site expenses	5,000
Office expenses	12,000
Rates and Taxes	15,000
Cash at bank	1,33,000
Wages	2,50,000

Build the contract Account and Balance Sheet

SECTION-C

Q.4. Attempt all parts of the following:

(2×10=20)

(a) A multi-product company furnishes the following data relating to the year 2024:

	1st Half of the Year	2nd Half of the Year
	(Rs.)	(Rs.)
Sales	45,000	50,000
Total Cost	40,000	43,000

Assuming that there is no change in the prices and variable cost and the fixed expenses are incurred equally in the two half years, For the year 2024 find the following:

- The P/V ratio
- The fixed expenses
- The breakeven sales
- The percentage of margin of safety to total sales

(b) Define and explain briefly the following terms with suitable imaginary figures.

- Material price variance
- Material usage variance
- Material mixture variance
- Material yield variance